CASE STUDY

A SUCESS AND A FAILED BUSINESS MODEL

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CASE STUDY: A SUCCESSFUL AND A FAILED BUSINESS MODEL

Part 1: Successful Business Model – Amazon

Background:

Amazon was started by Jeff Bezos in 1994 as a simple online bookstore. Over the years, it transformed into the world's biggest e-commerce platform, offering everything from books and gadgets to groceries and even cloud computing services.

Business Model:

Amazon's strategy has always been simple: focus on the customer. They built a model offering wide selections, low prices, and fast delivery. Over time, their model expanded into multiple areas:

- E-commerce: Directly selling to consumers online.
- Marketplace: Letting third-party sellers sell products through Amazon.
- Subscription Services: Launching Amazon Prime, which offers free shipping, movies, and more.
- AWS (Amazon Web Services): Becoming the leading provider of cloud services.

Key Success Factors:

- Innovation: Always investing in new tech like AI, delivery drones, and cloud computing.
- Customer Experience: Making shopping easier with fast shipping, easy returns, and personalized suggestions.
- Scalability: Expanding globally with localized versions of their site.
- Diversification: Moving into entertainment (Prime Video), groceries (Whole Foods), and devices (Alexa, Kindle).

Impact:

Amazon completely changed the way people shop. It disrupted traditional retail, set new standards for logistics, and influenced customer expectations worldwide. Today, Amazon is one of the most valuable brands on the planet, known for speed, convenience, and innovation.

Part 2: Failed Business Model – Kodak

Background:

Kodak was once a photography giant, dominating the camera and film industry throughout the 20th century. Founded in 1888, it became a household name when it came to capturing memories.

Business Model:

Kodak's strategy was based on selling cameras at a low price and making most of its money from selling film and photo development services – a "razor and blades" model.

Reason for Failure:

- Ignoring Digital Photography: Even though Kodak invented the first digital camera in 1975, they didn't pursue it seriously, fearing it would hurt their film business.
- Slow to Adapt: Competitors like Canon and Sony embraced digital photography early, while Kodak stayed stuck in the past.
- Brand Misalignment: Customers started moving to digital, but Kodak's image remained tied to traditional film.
- Wrong Investments: Instead of pivoting fully into digital, Kodak put resources into other areas like printers, which didn't work out.

Impact:

In 2012, Kodak filed for bankruptcy. Though it later returned in a smaller form, focusing on printing and imaging services, it never regained its leadership position.

Lessons Learned:

- Adapt Quickly: Embracing change is crucial in fast-moving industries.
- Stay Customer-Focused: Businesses must evolve with what customers want, not what they used to want.
- Execute Innovations: It's not enough to invent new technology—you have to lead the market with it.

Conclusion:

The stories of Amazon and Kodak show two very different paths. Amazon's success comes from constantly innovating and always putting customers first, even if it means disrupting its own business. Kodak's downfall, on the other hand, shows what happens when companies get too comfortable and resist change. In business, adapting and evolving are not optional—they are essential for survival.